(iv) Called up capital

It refers to that part of subscribed capital which has been called up by the company for payment.

(v) Paid up capital

It is that part of called up capital which has been actually paid by the shareholders.

(vi) Reserve capital

The company can reserve a part of its subscribed capital to be called up only at the time of winding up. It is called reserve capital.



Student activity 7.2

A company's annual report contains the following data. The face value of its shares is ₹ 10 each. Identify the company's registered capital, issued capital, subscribed capital and called up capital. Also find out the number of shares the company had issued.

- ₹ 5,00,000
- ₹ 2,00,000
- ₹ 3,00,000
- ₹ 3,50,000

7.6 Issue of equity shares

A public company may raise capital by issue of equity shares through the following ways:

1. Public issue
2. Private placement
3. Rights issue
4. Bonus issue

1. Public issue

Issue of equity shares to the public through prospectus by a public company is called public issue. It includes initial public offer and further public offer.

2. Private placement

Private placement means any offer of equity shares or invitation to subscribe equity shares to a select group of persons by a company (other than by way of public offer) through issue of a private placement offer letter and which satisfies the conditions specified in Section 42 of the Indian Companies Act, 2013.

3. Rights issue

Issue of equity shares to the existing shareholders of the company through a letter of offer is known as rights issue.

4. Bonus issue

Issue of equity shares to the existing shareholders of the company at free of cost out of accumulated profit is known as bonus issue.

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